
Archer Daniels Midland: Navigating Market Shifts with a Focus on Food System Resilience

ADM stands at a critical juncture. While recent revenue declines – a 4.86% year-over-year decrease to \$21.166B in the quarter ending June 30, 2025, and an 8.95% drop to \$85.53B in annual revenue for 2024 – present challenges, they also highlight the urgent need for efficiency and innovation across its vast operations. ReFED believes that a strategic focus on food waste reduction can simultaneously bolster ADM's bottom line and strengthen its commitment to sustainability.

Untapped Potential: ADM's Role in a Resilient Food System

ADM's global reach, encompassing over 270 manufacturing facilities processing grain and oilseeds, positions it as a pivotal player in addressing food waste across the supply chain. The company's stated commitment to "developing innovative, sustainable solutions in agriculture, food and nutrition, industrial and consumer products, energy" provides a strong foundation for integrating food waste reduction strategies into its core business model.

The Numbers Tell the Story: Opportunities for Efficiency

While specific data on ADM's internal food waste generation is not publicly available, the sheer scale of its operations suggests significant opportunities for improvement. The recent decline in crushing profit, a 93% drop to \$13 million, attributed to "lower margins as a result of muted demand due to the deferral of U.S. biofuel policy and challenges with international trade flows," underscores the vulnerability of ADM's business to external factors. Reducing waste can act as a buffer against these market fluctuations, improving resource utilization and operational efficiency.

Partnership Ecosystem: Building on Existing Commitments

ADM's partnership with World Food Program USA since 2005 demonstrates a commitment to addressing global food security. Leveraging this existing relationship, ADM can explore opportunities to integrate food waste reduction initiatives into its support for the UN World Food Programme. Furthermore, ADM should consider joining the U.S. Food Waste Pact, a national initiative led by ReFED and World Wildlife Fund, to publicly commit to waste reduction targets and collaborate with other industry leaders.

ESG Performance: A Foundation for Improvement

ADM's S&P Global ESG Score of 40, while within its industry peer group, indicates room for improvement. Focusing on measurable food waste reduction initiatives can significantly enhance ADM's ESG performance, attracting investors and strengthening its brand reputation.

The Business Case: ROI on Food Waste Reduction

Reducing food waste offers a compelling business case for ADM, encompassing:

-
- **Increased Efficiency:** Minimizing waste translates directly into lower input costs and improved resource utilization.
 - **Enhanced Profitability:** Reducing waste can improve margins, particularly in segments like crushing, which are currently facing challenges.
 - **Strengthened Brand Reputation:** Demonstrating a commitment to sustainability enhances ADM's brand image and attracts environmentally conscious consumers and investors.
 - **Risk Mitigation:** Reducing reliance on volatile commodity markets by optimizing resource use.

Next Steps: A Roadmap for Collaboration

ReFED recommends the following steps for ADM to further integrate food waste reduction into its operations:

- **Conduct a comprehensive food waste assessment:** Identify key waste hotspots across ADM's supply chain and manufacturing facilities.
- **Set measurable waste reduction targets:** Publicly commit to specific, time-bound goals for reducing food waste.
- **Implement innovative technologies and practices:** Explore solutions such as improved inventory management, byproduct utilization, and food donation programs.
- **Engage with ReFED and the U.S. Food Waste Pact:** Collaborate with industry experts and peers to share best practices and accelerate progress.
- **Integrate food waste reduction into ESG reporting:** Track and report on progress towards waste reduction targets to demonstrate commitment to sustainability.

By embracing a strategic approach to food waste reduction, ADM can not only enhance its financial performance but also solidify its position as a leader in building a more resilient and sustainable food system.